



SpotlightRetailers

Aaron's

Spotlight Report

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Key Personnel

Douglas A. Lindsay	CEO
Christopher K. A. Wall	CFO
Rachel G. George	Secretary

Business Description

Aaron's, Inc. sells and leases furniture, home appliances, and electronics products. The Company operates approximately 1,000 stores (averaging 8,000 sq. ft.) in 47 states, Puerto Rico and Canada

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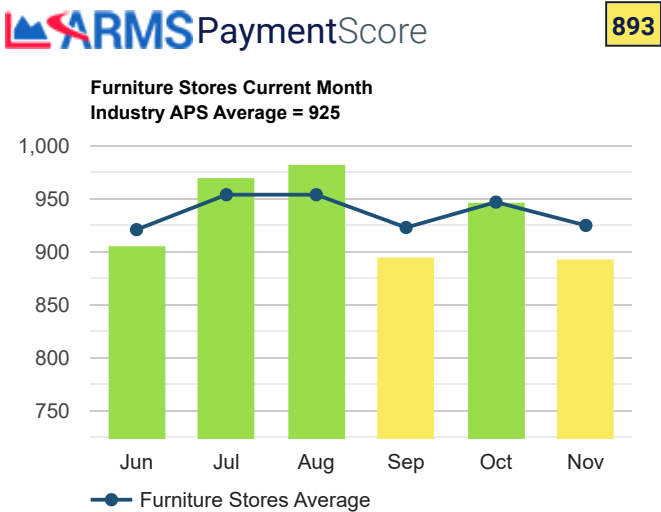
Analyst's Insight

Analyst : Dave Silverman

Key Takeaways

- The Company was recently taken private in a debt-funded transaction that may increase certain leverage metrics.
- Operations at Aaron's are under pressure, as its subprime consumers have reduced discretionary expenditures on appliances, mattresses and consumer electronics due to inflation and high interest rates.
- A possible increase in tariffs could force the Company to raise prices or compromise on margins. Higher prices could further pressure the financially vulnerable customer base and lead to further reductions in demand.
- The recent bankruptcy and store closings at Conn's could generate more business for the Company.

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What's Happening

Background

The Aaron's Company, Inc. is an omni-channel provider of lease-to-own (LTO) and retail sales of furniture, electronics, appliances, and other home goods. The Company operates through the following brands: Aaron's, BrandsMart U.S.A., BrandsMart Leasing, and Woodhaven Furniture Industries. Aaron's offers a direct-to-consumer lease-to-own solution through its approximately 1,200 Company-operated and franchised stores in 47 states and Canada, as well as its e-commerce platform. BrandsMart U.S.A. is one of the leading appliance retailers in the country with 11 retail stores in Florida and Georgia. BrandsMart Leasing offers lease-to-own solutions to customers of BrandsMart U.S.A. Woodhaven is the Company's furniture manufacturing division. Revenue at the Aaron's unit is about 75% of revenue, with Brandsmart generating about 25% of the top line.

Acquisition by IQVentures

On October 4, 2024, the Company announced the completion of its acquisition by IQVentures Holdings, LLC, a fintech organization, for \$10.10 per share in cash, or an enterprise value of \$504 million. The acquisition was approved by the Company's shareholders on September 25, 2024. With the completion of the transaction, The Aaron's Company's common stock ceased trading and will no longer be listed on the NYSE.

The website of IQVentures states that it controls other companies, including pathtivity, IQ DataScience, and IQVservicing.

Impact of Acquisition Funding

On October 23, 2024, we reported that the Company entered into a \$545 million ABL facility, including a \$120 million working capital facility secured by inventory, and a \$425 million facility collateralized by the assets of a special purpose vehicle (an entity created to isolate financial risk or manage certain assets). The financing, provided by Second Avenue Capital Partners and Pathlight Capital, was arranged to facilitate the \$504 million acquisition of the Company by IQVentures, a fintech-oriented private equity sponsor; we reported this deal on October 4.

We assume the \$425 million facility was fully funded to effectuate the transaction. However, it will likely not compromise Aaron's ratio of debt/EBITDA because the purpose of locating it in an SPV is to isolate the debt from the parent. In this situation, the lenders likely do not have recourse to assets outside the SPV. However, **the additional interest expense on the term loan may be recognized on the Company's books and this could compromise the interest coverage ratio. Any borrowings by Aaron's under the \$120 million working capital facility will impact its ratio of debt/TTM EBITDA and also interest coverage ratio.**

Brandsmart - Background

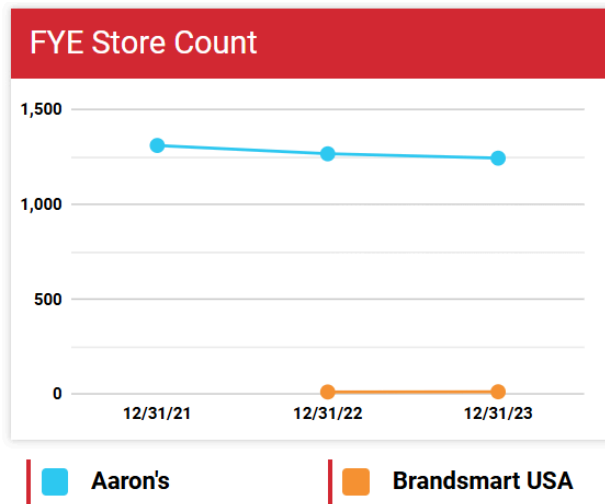
On February 23, 2022, the Company acquired a 100% ownership interest in Interbond Corporation of America, doing business as BrandsMart U.S.A. Brandsmart, which is a subsidiary of the Company, is an appliance and consumer electronics retailer operating in the southeast United States, with 12 stores in Florida and Georgia. Its stores average \$75 million in revenue and are over 100,000 square feet in size. Consideration totaled \$230 million in cash, representing a purchase multiple of 5x adjusted EBITDA before synergies. The transaction was structured as a stock purchase. Launched in 2022, BrandsMart Leasing offers lease-to-own purchase solutions to BrandsMart's customers.

Economic Issues - The Company's subprime customers were hit hard by the combination of inflation and high interest rates. Many customers cut their discretionary spending and some defaulted on their lease-to-own obligations. We also note that prospects for a near-term operational turnaround are not encouraging as Aaron's recently noted that its subprime customers are buying based on "needs rather than on wants." The ongoing pull forward in demand and slow technological changes mean there is no compelling reason to replace products purchased during and after the pandemic, which still function. For these reasons, traffic may remain weak, as customers continue to trade down to lower-priced products in the major appliance and consumer electronics categories. For the quarter ended June 30, 2024 (the last period the Company filed publicly), sales and EBITDA fell 5% and 36%, respectively; TTM EBITDA margin was only 4.5%, cash flow remained negative, and the ratio of debt/TTM EBITDA increased to 2.3x from 1.9x. Looking ahead, the industry could be negatively impacted by additional tariffs under the new administration. This could force the Company to raise prices or compromise on margins. Higher prices would likely lead to even less spending and more defaults by the already beleaguered customer base.

Industry Issues - Following Conn's bankruptcy and store closings, many of its subprime customers will have limited options as to where to shop due to their poor credit profile. They may take their business to other lease-to-own retailers, such as the Company or Upbound. This may provide a larger pool of prospects. Additionally, Conn's customers have higher credit scores than the Company's customers, so the transferred business may be somewhat less risky, which may reduce the possibility of defaults,

Store Base

The following highlights the Company's store base, which includes approximately 1,200 Aarons stores and 12 Brandsmart units:



Bank & Lien Searches

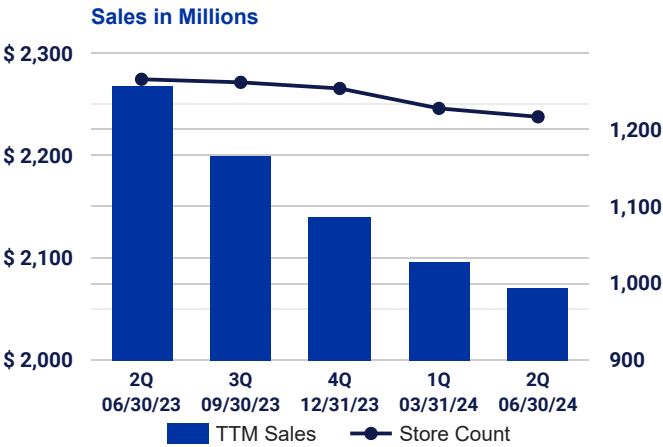
- According to a UCC filing, the Company entered into a \$275 million secured loan facility with Truist Bank and Wells Fargo Bank, N.A. in April 2022.
- There are currently no tax liens or material lawsuits pending against the Company.

StoreTrends Overview

Aaron's



Sales and Store Count





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